EXECUTIVE SUMMARY

A. Introduction

Buguey was founded and created on May 20, 1623 as a town by virtue of Royal Decree issued by the King of Spain. The municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the municipality of Lal-lo, on the east by the municipality of Sta Teresita (former part of Buguey) and on the west by the municipality of Aparri.

The audit covered the accounts and operations of the Municipality of Buguey for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020 were P264,160,239.91, P98,707,683.97and P165,452,555.94 with an increase in assets and government equity of 15.70% and 28.24% respectively, and a decrease in liabilities of 0.60% from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P140,786,389.04 and P140,209,126.51 which increased by 12.11% and 13.91%, respectively, from last year's figures.

	2020	2019	Increase (Decrease)	
			Amount	%
Financial Condition				
Assets	264,160,239.91	228,318,411.82	35,841,828.09	15.70%
Liabilities	98,707,683.97	99,298,012.92	(590,328.95)	(0.60%)
Government Equity	165,452,555.94	129,020,398.90	36,432,157.04	28.24%
Results of Operation				
Total Income	140,786,389.04	125,577,135.76	15,209,253.28	12.11%
Total Expenses	140,209,126.51	123,086,561.23	17,122,565.28	13.91%
Appropriations, Allotments and Obligations				
Appropriations-Current	152,518,663.19	125,944,461.07	26,574,202.12	21.10%
Appropriations-Continuing		3,717,797.95		
Allotments-Current	152,518,663.19	125,944,461.07	26,574,202.12	21.10%
Allotments-Continuing		3,717,797.95		
Obligations-Current	145,463,476.81	121,623,038.66	23,840,438.15	19.60%
Obligations-Continuing		2,271,966.00		

C. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements as at December 31, 2020 due to the following:

1. The accuracy of the reported balance of Property, Plant and Equipment (PPE) account amounting to P163,986,895.27 remained unreliable as of December 31, 2020 due to (1) Non-submission of the required Report on Physical Count of Property, Plant and Equipment (RPCPPE), (2) Non-maintenance of Property Card (PC) for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory contrary to COA Circular 2020-006 dated January 31, 2020 and pertinent provisions of the Government Accounting Manual (GAM) for LGUs thus, affecting the fair presentation of the LGU's financial statement.

2. Disbursement vouchers together with supporting documents covering two hundred forty–seven (247) checks amounting to P35,838,468.32 for the period January 1, 2020 to December 31, 2020 were not submitted to the Office of the Auditor in violation of the provisions of COA Circular No. 2009-006 dated September 15, 2009, COA Circular 2012-001 dated June 14, 2012 and Section 39 (1) & (3) of Presidential Decree (PD) No. 1445, thus, validity, legality, and propriety of the transactions could not be ascertained.

3. Reconciling items as reflected in the Bank Reconciliation Statements as of December 31, 2020 totaling to P10,490,035.69 remained unadjusted for a long period in the books of accounts of the LGU hence, rendering the accuracy and propriety of the Cash in Bank account balance amounting to P35,187,761.98 doubtful and unreliable in violation of Section 74 of Presidential Decree (PD) No. 1445 otherwise known as the Government Auditing Code of the Philippines. Likewise, sound accounting practice dictates that the non-adjustment of reconciling items in a bank reconciliation statement in the books of the LGU defeats the purpose of its preparation.

4. Negative/abnormal balances remained uncorrected in the subsidiary ledgers of some asset and liability accounts amounting to (P1,233,818.99) and (P2,802,235.23), respectively, which is not in consonance with Section 27 of the Philippine Public Sector Accounting Standards (PPSAS) 1 thus, affecting the reliability of the ending balances of said accounts and the fair presentation of the financial statements.

D. Summary of Significant Audit Observations and Recommendations

1. The accuracy of the reported balance of Property, Plant and Equipment (PPE) account amounting to P163,986,895.27 remained unreliable as of December 31, 2020 due to (1) Non-submission of the required Report on Physical Count of Property, Plant and Equipment (RPCPPE), (2) Non-maintenance of

Property Card (PC) for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory contrary to COA Circular 2020-006 dated January 31, 2020 and pertinent provisions of the Government Accounting Manual (GAM) for LGUs thus, affecting the fair presentation of the LGU's financial statement.

We recommended that Management:

a. Create the Inventory Committee composed of adequate number of members to conduct physical inventory of all PPEs of the Municipality within the period prescribed under the aforementioned COA Circular;
b. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;
c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and
d. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs.

2. Disbursement vouchers together with supporting documents covering two hundred forty–seven (247) checks amounting to P35,838,468.32 for the period January 1, 2020 to December 31, 2020 were not submitted to the Office of the Auditor in violation of the provisions of COA Circular No. 2009-006 dated September 15, 2009, COA Circular 2012-001 dated June 14, 2012 and Section 39 (1) & (3) of Presidential Decree (PD) No. 1445, thus, validity, legality, and propriety of the transactions could not be ascertained.

   We recommended that the management thru the Municipal Accountant submit immediately the required documents supporting the 247 transactions as mentioned above and strictly adhere to the provisions of COA Circular No. 2009-006 dated September 15, 2009 and COA Circular 2012-001 dated June 14, 2012 on the submission of accounts and other reports of the municipality on or before the set deadline to avoid administrative sanctions and/or disallowance of said accounts as provided for by Section 39 (1) & (3) of Presidential Decree (PD) No. 1445.

3. Reconciling items as reflected in the Bank Reconciliation Statements as of December 31, 2020 totaling to P10,490,035.69 remained unadjusted for a long period in the books of accounts of the LGU hence, rendering the accuracy and propriety of the Cash in Bank account balance amounting to P35,187,761.98 doubtful and unreliable in violation of Section 74 of Presidential Decree (PD) No. 1445 otherwise known as the Government Auditing Code of the Philippines. Likewise, sound accounting practice dictates that the non-adjustment of reconciling items in a bank reconciliation statement in the books of the LGU defeats the purpose of its preparation.

We recommended the Municipal Accountant submit the details, nature and the supporting documents relative to the enumerated reconciling items and prepare the necessary adjustments in the books of accounts.

Further, we recommended the Municipal Accountant adjust all reconciling items determined during the preparation of the Monthly Bank Reconciliation Statements on a timely basis for an accurate and correct Cash in Bank account balance reflected in the financial statements of the Municipality. Likewise, timely adjustment of said reconciling items will ensure prompt identification of discrepancies and the parties at fault, the information for its existence and its ultimate adjustment in the books of the party who committed such error or discrepancy.

4. Negative/abnormal balances remained uncorrected in the subsidiary ledgers of some asset and liability accounts amounting to (P1,233,818.99) and (P2,802,235.23), respectively, which is not in consonance with Section 27 of the Philippine Public Sector Accounting Standards (PPSAS) 1 thus, affecting the reliability of the ending balances of said accounts and the fair presentation of the financial statements.

   We recommended that the Municipal Accountant carefully analyze and reconcile the entries made on the accounts with negative/abnormal balances, and prepare the necessary adjusting entries to restore the correct balances of the assets and liability accounts.

E. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years		29,083,522.96	-	29,083,522.96	-
Current Year	-				
Total	**-**	**29,083,522.96**	**-**	**29,083,522.96**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

E. Status of Implementation of Prior Year's Audit Recommendations

Out of eighteen (18) audit recommendations embodied in the prior years' Annual Audit Reports, eight (8) were fully implemented, six (6) were partially implemented and four (4) were not implemented as of December 31, 2020.